



BUSINESS PROCESS MODELLING REPORT

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Overview of the Organisation

Eazy Bank (pseudo name) is a financial institution operating in Nigeria with over 250 branches in 28 out of the 36 states in the country. Eazy bank offers a variety of retail, Small and Medium Enterprise (SME), and corporate banking products designed to meet customers' needs.

As with most structured organizations, Eazy Bank has processes and controls that are put in place to consummate transactions relating to asset acquisition and the Capital Expenditure (CAPEX) process is one of the numerous ones in the organization.

CAPEX approval process is followed by all staff in requesting for bank's basic assets used in daily operations. Assets such as furniture, electronics, and by extension highly priced ones like vehicles, properties, Automated Teller Machines (ATMs) etc.

Current Capital Expenditure Process (AS-IS)

The CAPEX approval MUST be in place for any asset to be acquired in the bank. Presently, the bank operates a manual approval process that requires paper memo to be raised by the requesting officer, passed to a supervisor and General Manager (GM) for review and assent before commencing the laborious process of sending it to the CAPEX Control Officer (CCO) via the office dispatch.

The current use of hardcopies has in the past led to cases of missing documents in transit, delayed assent by approving authorities (GM, Supervisor) in Request Officer's (RO) line of report, delayed delivery by Official Dispatch (OD) to CCO. For example, a big-ticket transaction for vehicle purchase approval raised from executive office have gone missing in the past and made the bank to lose out on timebound transaction to a competitor. This brought about negative publicity for the bank, and the customer perceived the bank as "unserious". The embarrassment did not go down well with leadership and staff members found culpable in the missing ticket case were suspended or sacked depending on their level of culpability when investigated.

The manual paper process begins with the RO who can be a staff from the branch, head office department or unit. The RO fills the CAPEX form for assets of at least fifty thousand naira (N50,000) and passes it to supervisor in his reporting line for review and signoff. The supervisor signs off and approves depending on his signing capacity, which does not exceed two hundred and fifty thousand naira (N250,000) and sends it back to the RO. If the amount exceeds his approval limit, he forwards to the GM for approval. Afterwards, the CAPEX memo is returned to the Supervisor who in turn sends back to the RO. When the RO receives this, he engages the dispatch (OD), to receive the document and begin the process of sending it to the CCO to begin control approval. Usually, the OD will time stamp received CAPEX documents, register in outgoing mail booklet before heading out to deliver.

Often, the OD has other documents to pick up and stops at different offices including the bank's mailing room before setting out to deliver to the CCO. The CCO receives the documents and registers them for accountability but doesn't get to treat it until the next day, as backlogs need to be treated before new ones. That is, CCO adopts first in first out to treat the documents. The CCO reviews in line with control standards by checking if it is in the

year's budget, extra-budgetary approval for unbudgeted items in place, all required parties sign off on the memo, and appropriate justification is stated. Documents meeting these conditions are approved and forwarded to the CAPEX Authorizer (CA) for second level review and approval. Else, it is rejected and the process ends. The CA sends the approved CAPEX document back to the CCO, who gives the dispatch to return to the RO. For the rejected document, the RO rectifies the issue(s) raised and send backs to the CCO via the dispatch who must observe the normal routine required to register and deliver documents for accountability. CCO ensures all issues previously raised are resolved, approves the documents and sends to the CA for his own sign off, and return to the CCO.

The CCO puts treated CAPEX document in outgoing files waiting till the OD will pick it up and deliver with other documents which might have higher priority, thus elongating the time to get back to the RO with his approved documents. When the RO eventually receives the CAPEX document, he initiates the process of CAPEX item requisitioning and the process ends.

The current process has a lot of gaps that has led to duplication of CAPEX requests on several occasions, long cycle time with OD involved, lack of audit trail, difficult reporting analytics on CAPEX spend/approval times and fragmented documentation amongst other lapses of the manual process.

To address the gaps associated with a manual process, it is recommended that the Tukay online expenditure processing platform should be adopted to treat CAPEX and Operating Expenditure (OPEX) requests. Tukay is an automated in-house robust application being developed by Information Technology (IT) staff of Eazy Bank. The application would work on the bank's intranet and can match any 3rd party application that address the same issues in the market.

The above recommendation is justified on the grounds that an automated process that enables a proper audit trail addresses strict compliance to regulatory guidelines, reduces financial control lapses and facilitates proper audit trails. an in-house platform would help the bank. In addition, the Bank will have real-time data on capital expenses, which will allow leadership to be proactive on budget management and take decisions faster.

The proposed automated process of the CAPEX request approval will address gaps in transparency, missing documents, audit trail, regulatory compliance, cycle times reduction by at least 80% and geographical constraints as the Official Dispatch is no longer required in the online process.

There are several gains that will accrue to Eazy Bank upon adopting the new process, and these are elimination of request duplication, productive time saved from following through on paper approvals, solid framework for internal control and audit exercise, reduced risk of eventually overspending at the procurement stage due to real-time budget checks and data-driven insights from the ability to analyse spending patterns and optimize future capital budgets.

To fully get the Bank's management to key in into this new automated process, I have highlighted some performance metrics for the new solution as shown in Table 1, below.

Table 1. Performance Metrics for the new CAPEX process.

S/N	Metrics	Measurement	Target Improvements
1	Cycle Time	Average time from CAPEX initiation to final approval is system logged.	Reduced from 2 days to 8 working hours.
2	Budget Compliance	% of approved request not budgeted for.	Less than 2% as no human intervention to lobby system for unbudgeted items.
3	Approver Compliance	% of approval completed within the Service Level Agreement (SLA) hours (48).	Increase to 90% as new CAPEX process has two CCOs.
4	User Satisfaction	Survey score on a scale of 1-5 form requester and approvers.	Increase score by at least 2 points.

From the foregoing, upon receiving management go-ahead to implement a new CAPEX request process, the following phased strategy in Table 2 below would be adopted in transitioning from the current manual process to the new automated platform.

Table 2. Implementation plan for the new online Tukay CAPEX platform

Phases	Tasks	Activities	Duration	Resources
Phase 1	Project planning	Gather and finalize requirements, form project team	4 weeks	Project Sponsor (CFO), Project Manager, Business Analyst, IT lead, finance and operations SMEs, CAPEX system users
Phase 2	Build In-house and Configure	Configure approval workflows, user roles, forms. Conduct UAT (User Acceptance Testing) with pilot group	20 weeks	System Administrator, IT Dev. Team, Testers, IT Integration Specialist, Pilot Group Users (CCO, RO, Supervisor, GM, Authorizer).
Phase 3	Deployment	Pilot launch (select department & branches), feedback collection, training material finalization, phased organizational rollout.	24 weeks	IT Trainers, Business Analyst, Department Champions, Help Desk support.
Phase 4	Monitoring & Maintenance	Monitor metrics, gather continuous feedback, optimize workflows.	On-going	Process Owner (Finance), System Admin.

For the CAPEX change initiative to an automated process, the change strategy to be adopted will include having a guiding principle of early and frequent communication via multiple channels, constitute a steering committee of senior staff (Chief Financial Officer(CFO), department heads), structured communication to create awareness about the new system, training in the pre and post-launch era for system users, support and dedicated helpdesk channel for system users. Prioritize feedback and suggestions for optimal performance of future upgrades.

New Capital Expenditure Process (TO-BE)

The New CAPEX process involves the automation of request processing using the Tukay online platform to be developed by in-house IT staff. The new process will require system users to log in to the platform using username and password.

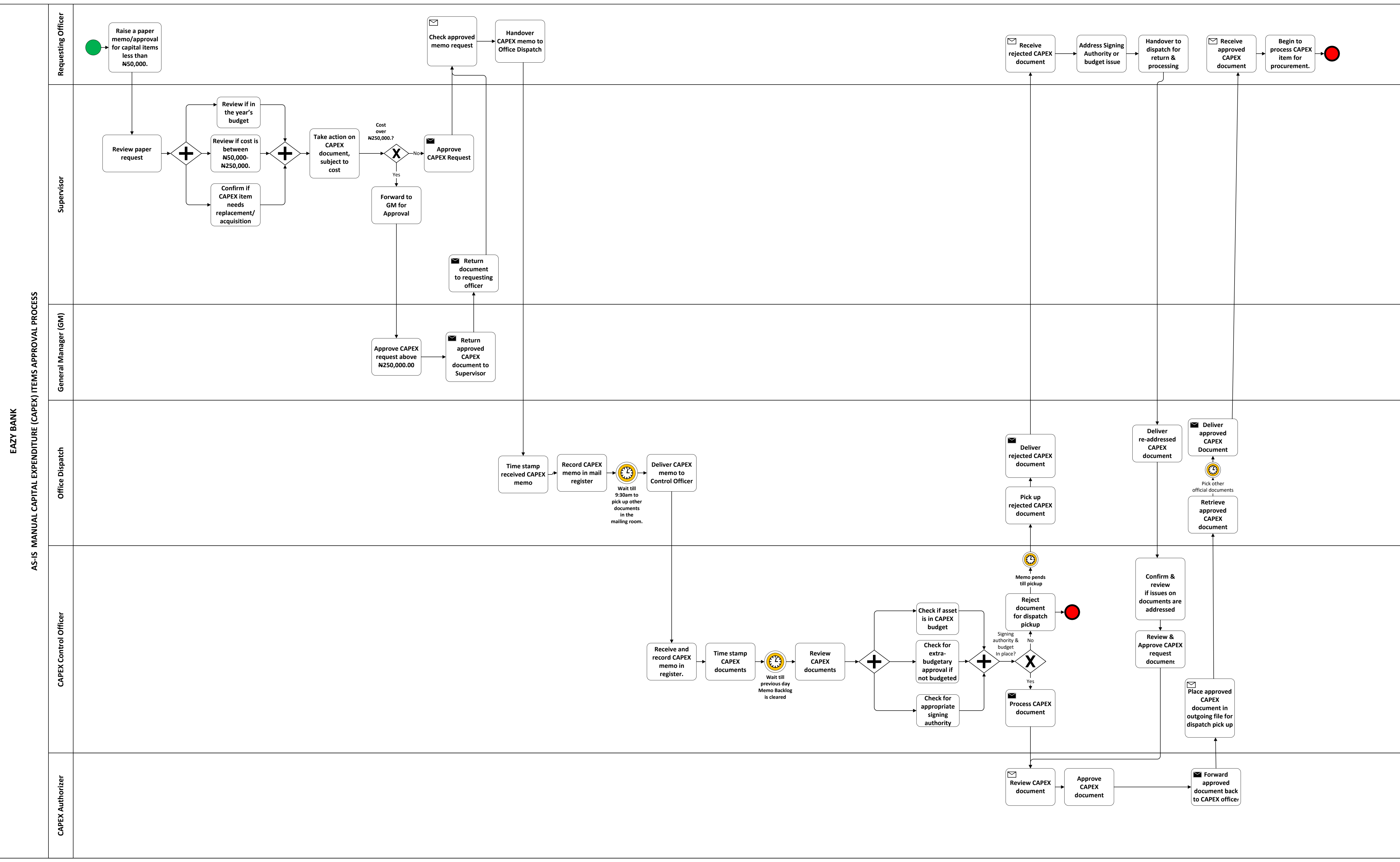
This process begins with the Requester Officer (RO) logging on to the platform with username and password. RO fills the CAPEX request form for assets of at least N50,000 in the online platform and submits the request to his supervisor. If CAPEX is unbudgeted for, system ends the process and RO must seek extra-budgetary approval to re-initiate the process. For budgeted CAPEX items, Supervisor logs on to review and approve the document on his queue. Supervisor approves an amount of up to N400,000 only in the new process, as opposed to previous N250,000 in the manual era, and forwards large sums in excess to the Big-Ticket Authorizer (BTA), who must also log on, review and approve. For the CAPEX items within the Supervisor's approval limit, the transaction flows to the shared queue of CCOs 1 and 2 where either staff, performing the same function can pick from the queue to review and approve, decline or pend the CAPEX request. Two CCO's in the new process is to enable faster turn around time and eliminate backlogs associated with the paper-based having only a CCO to treat the CAPEX transactions bank wide.

If requests are pending, the processing CCO calls to clarify on grey areas before approving. It can also be reworked back to the RO's queue to address issues and revert to CCO's queue upon solving issues or outrightly declined, thereby ending the process by the CCO. The CCO's approved transactions flow automatically to the CAPEX Authorizer's (CA) queue for scrutiny and further approval. The CA must log on to review the document and approve as appropriate, before sending back the document to the RO's queue, thereby ending the automated online CAPEX request approval process.

References

1. **Dumas, M., La Rosa, M., Mendling, J., & Reijers, H. A. (2018).** *Fundamentals of business process management* (2nd ed.). Springer.
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3. **KPMG. (2023).** *Intelligent automation in banking: Driving operational excellence in the finance function*. KPMG International.
4. **Gartner. (2022).** *Use workflow automation to improve efficiency and control in banking financial processes* (ID G00773521). Gartner, Inc.

Appendix



Confirm & review if issues on documents are addressed

Review & Approve CAPEX request document

Place approved CAPEX document in outgoing file for dispatch pickup

